

SEPARATE OPINION OF M. ERICH.

[*Translation.*]

Although I agree with the operative part of the Court's judgment, I regret that I have been unable to concur on every point in its arguments. I think therefore I ought briefly to state my dissenting opinion.

The two sources invoked by the Parties as binding upon them, namely their declarations accepting the compulsory jurisdiction of the Court and the Treaty of 1931 for as long as it continued in force, indicated between them the extent of the mutual obligation of both Parties to submit their disputes to the Permanent Court of International Justice. There is no doubt that this mutual obligation based upon the declarations was in a certain measure extended by the conclusion of the Treaty.

Disregarding for the moment the argument *ratione materiae* invoked by the Bulgarian Government in a very general and even rather diffuse form, which argument the judgment has rightly held not to be a preliminary objection, I find that the Bulgarian Government, while disputing the justice of the Belgian Government's arguments in favour of the Court's jurisdiction, asks the latter "to declare that it has no jurisdiction to entertain the Application filed" and further declares "that the Application submitted by Belgium to the Permanent Court of International Justice cannot be entertained".

The question whether the Bulgarian Memorial, when it speaks either of "questions of jurisdiction and admissibility" or of "the question of jurisdiction and admissibility", intended to raise a single objection implying two objections, or two different objections, is of no decisive importance.

Bulgaria disputed the treaty bases of the Court's jurisdiction, alleging generally the absence of any international element in the present dispute and advancing, in the second place, with regard to the declarations, the objection *ratione temporis*. The objection based upon Article 3 of the 1931 Treaty and disputing the admissibility of the Application, is of a different character. A party who argues that an application cannot be entertained is not maintaining thereby that the subject of the dispute does not fall within the competence of the court in question; it is adducing a certain circumstance which in its opinion constitutes an obstacle to proceedings. The same is true when the party invokes the non-exhaustion of local

remedies or the absence of diplomatic negotiations, both cases creating a gap which does not affect the jurisdiction of the Court as recognized by the parties in question.

An objection to jurisdiction and an objection to admissibility are not therefore mutually exclusive. They may co-exist and should be examined separately, even when the same party has impugned both jurisdiction and admissibility. The fact that the party raising the objections has apparently confused them is of no importance, provided that the distinction emerges in fact from its claims.

The objection to jurisdiction is obviously a preliminary objection in relation to the objection to admissibility. If the Court finds that it has no jurisdiction, the objection to admissibility lapses, having lost its *raison d'être*; if, on the other hand, the Court declares in favour of its jurisdiction, it has not thereby affirmed that the application can be entertained.

Accordingly, if we are confronted with an objection to jurisdiction and an objection to admissibility, we should begin by examining the question of jurisdiction proper. If jurisdiction is not admitted, the whole case falls to the ground and the objection to admissibility ceases to have any relevance. In the opposite case the force of the objection to admissibility is unimpaired and remains to be examined separately. The same is obviously true when it is found that an objection to the jurisdiction of the Court is closely bound up with the merits of the dispute; the jurisdiction is here too preserved, at least for the time being.

The objection relating to exhaustion of internal remedies is indivisible. The Party who advances this objection does not mean that, from the point of view of the Treaty, these remedies are not exhausted, but that, from another point of view, that of the declarations, the objection based on exhaustion does not operate. The remedies are either exhausted or they are not. Once the objection based on alleged non-exhaustion is found to be just, it is impossible to cancel the effects of that finding by admitting also that the *jurisdiction* of the Court is established. The establishment of jurisdiction does not of itself suffice to rule out the objection to the application being entertained.

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The argument *ratione materiae*, that is to say the general and somewhat diffuse objection whereby the Bulgarian Government seeks to exclude the Court's jurisdiction, was rightly denied to be a preliminary objection and was reserved for

examination with the merits. The objection *ratione temporis*, which likewise challenges the jurisdiction of the Court, is logically subordinate to the objection *ratione materiæ* in the sense that, should the latter be subsequently approved by the Court, the argument *ratione temporis* would lose its *raison d'être* and become inoperative. If we find that the case is not a dispute in the international sense, the question of priority, or otherwise, of date would no longer arise.

But since the Court has already examined the argument *ratione temporis*, I should like to offer a few observations on this subject.

The reservation *ratione temporis* inserted in many international undertakings appears in different terms. When we exclude "disputes which have their origin in facts prior to the present Convention", that expression appears perhaps more restricted than the words used in the Belgian declaration: "disputes arising after the ratification of the present declaration with regard to situations or facts subsequent to this ratification"; fundamentally there is little difference between the intentions of the contracting States. Any dispute caused by facts or measures of a legal character prior to a certain decisive and crucial date are excluded from the application of the rule. Such formulæ may be criticised as inexact and likely to cause confusion, but they must be given the meaning which the contracting Parties had in mind.

During the first stage of the present dispute, both Parties apparently considered the origin of their dispute to lie in the formula contained in the award of the Mixed Arbitral Tribunal of 1925. The Belgian Application (p. 4), in telling the story of past events, speaks of the tariff formula fixed by the Arbitral Tribunal. Until 1934 the application of this formula gave rise to no difficulties, but disagreement arose for the first time in the last quarter of that year. The compromise arranged for 1935 was not prolonged, "and the dispute again arose with regard to calculating the tariff for the first quarter of 1936". In its Additional Memorial (p. 8) the Belgian Government indicates as follows what it regards as the criterion in order that the reservation in the Belgian declaration may apply: ".... it is not enough that the dispute arising subsequently to this declaration should have some relation with a situation in law or of fact prior thereto; the dispute must arise with actual regard to that situation". The same phrase "with regard to" is therefore found both in this general and abstract formulation of the rule and in the above-mentioned sentence in the Application which deals with the tariff formula fixed by the Arbitral Tribunal. In the Belgian Government's Memorial (p. 14) the formula fixed by this Tribunal is called "the disputed formula".

From these expressions and from several others it would appear that the Belgian Government in the first stage of the dispute regarded certain alleged acts by the Bulgarian authorities to be the subject-matter of the dispute, but held the formula to be the source of it, in other words, the situation with regard to which the dispute arose.

If the Mixed Arbitral Tribunal had complied with the Company's request when asked to give an interpretation of the arbitral award of May 27th, 1925, the dispute submitted to this Tribunal would obviously have been a dispute directly *with regard to the arbitral award*. And the same is true when the Bulgarian courts were required to adjudicate upon the matter. The salient point upon which their discussions turned was precisely "the disputed award" of 1925. As the decisions by the courts failed to satisfy the Company, the protecting State, Belgium, applied to the Court. It is certainly not "the disputed formula" as such which was submitted to the examination of the Court. If it were so, this formula would have to be regarded as the actual subject of the dispute. The Belgian complaints are directed against certain acts of the Bulgarian authorities, and it is these acts which constitute the subject of the dispute; it was they which occasioned it. Essentially, however, they obviously *assume* the existence of prior situations or facts (cf. the Court's judgment in the case of the Moroccan Phosphates, p. 24). The dispute *derives* from facts prior to March 10th, 1926. The disputed award constitutes a situation prior to the crucial date. That prior situation gave birth to differences of opinion that arose subsequently to that date.

If taken in a very limited sense, the *ratione temporis* reservation, emphasized by many countries in their declarations, might become almost void of substance. Alleged damage suffered before the entry into force of the undertaking could be resuscitated by a claim submitted to some national judicial or administrative authority subsequently to the crucial date. The final dismissal of the claim could then be alleged as an unlawful act and as the element giving birth to the dispute. In this way the interested party would be enabled to revive a dispute to which, under the reservation, the convention ought not to apply.

For the reasons given above, I am inclined to regard the present dispute as having arisen with regard to a situation prior to ratification of the declaration. But the *ratione temporis* reservation operates only within the limits of that declaration; it was not inserted in the 1931 Treaty, which was still in force at the time when the case was submitted to the

Court. Since the Court has adjudicated upon the *ratione temporis* objection before giving any decision in regard to the preliminary *ratione materiae* objection, I must declare at this stage that the distinction according to whether the dispute is prior or subsequent to a certain date does not apply in so far as concerns the 1931 Treaty.

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The Court has admitted the justice of the Bulgarian objection based on failure to exhaust internal remedies. The Application must therefore be regarded as inadmissible. According, however, to the view that prevailed, the force of this finding is invalidated by the fact that the Court's jurisdiction is accepted on the basis of the declarations of adherence to the optional clause. Even if the contrary conclusion had prevailed, the admission of the dispute as having arisen with regard to a situation subsequent to ratification would have meant that Belgium would still have the right to submit to the Court a fresh application on the basis of the mutual declarations.

In these circumstances, I can be brief on the question of exhaustion. I would only say that the conditions required under Article 3 of the 1931 Treaty were not fulfilled at the time when the Belgian Government applied to the Court. At the same time, the local redress rule, even if established in a treaty clause, is not incompatible with certain departures from it, although these, unlike the rule itself, are not laid down in a written text. There are reasons for weighing the merits of an alleged departure from the rule and for taking account of what appears reasonable in a particular case. The Treaty of 1931, which requires that pacific methods of settling international disputes shall be followed as far as is possible, was denounced by one of the Parties at the moment when the Treaty was about to be applied, and was denounced in order to prevent any examination of the dispute by an international body. Belgium, who was probably not sure of being able to approach the Court on the basis of the declaration, the latter being subject to the *ratione temporis* reservation, was faced with a real *periculum in mora*; the action she took is explained by the abnormal situation created by the denunciation of the Treaty. Furthermore, since the Court of Cassation in Bulgaria delivered its judgment, the internal remedies have in fact been exhausted.

Although I hold that this objection to admissibility should have been treated separately and independently of the question concerning the extent of the Court's compulsory jurisdiction, I consider that a departure from the local redress rule was in this case justified. On that account, and notwithstanding differences of opinion on certain points, I have been able to concur in the operative part of the judgment.

(Signed) R. ERICH.